Transactional Leadership

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- Transactional leadership is defined as the influence of a leader toward his subordinates using reward and punishment as a form of motivational medium.

Transactional Leadership

- Transactional Leadership, also known as managerial leadership.
- Transactional leadership is a style of leadership in which the leader promotes compliance of his/her followers through both rewards and punishments.

Transactional Leadership

- Transactional leadership is also called as true leadership style.
- Transactional leadership the leader has the right to punish his or her subordinates if their performance is not according to the predetermined standard.

Transactional Leadership

- The term "transactional" refers to the fact that this type of leader essentially motivates subordinates by exchanging rewards for performance.
- Transactional leadership has more of a telling style.

Qualities of Transactional Leadership

- Passive.
- Contingent reward and management-by-exception.
- Reward and punishments

Qualities of Transactional Leadership

- Directive and action-oriented.
- Transactional leaders are willing to work within existing systems and negotiate to attain goals of the organization. They tend to think inside the box when solving problems

Advantages of Transactional Leadership

1. Rewards and Incentives
2. Structure is Clear
3. Short Term Goal
4. Control Rewards

Disadvantages of a Transactional Leadership

- Transactional leaders tend to be more reactive to changes in market conditions.
- Transactional leadership also promotes a rigid hierarchy.
- Slow to respond to and take advantage.

Disadvantages of a Transactional Leadership

- This type of leadership is flawed since it motivates people only on the base level.
- This is poor when higher thinking skills level is needed to utilize.
- This also limits its follower that wishes to engage with higher level of professional environment.

Transformational Leadership

Transformational Leadership

"broaden and elevate the interests of their employees, when they generate awareness and acceptance of the purposes and the mission of the group, and when they stir their employees to look beyond their own self-interest for the good of the group."

Transformational Leadership

"A leader that recognizes and exploits an existing need or demand of a potential follower… (and) looks for potential motives in followers, seeks to satisfy higher needs, and engages the full person of the follower… to a higher level of need according to Maslow's hierarchy of needs…"

Transformational Leadership

" A form of leadership that requires leaders to engage with followers as 'whole' people, rather than simply as an 'employee' for example. In effect, transformational leaders emphasize the actualization of followers."

Qualities of Transformational Leadership

1. ***Idealized Influence***
2. ***Inspirational Motivation***
3. ***Intellectual Stimulation***
4. ***Individualized Consideration***

Examples of Transformational Leaders

1. ***Genghis Khan***
2. ***Lou Gerstner***
3. ***Lee Iacocca***
4. ***Dr. Ruth Simmons***
5. ***General Colin Powell***

Advantages of Transformational Leadership

1. ***Vision***
2. ***Inspiration (Motivation)***
3. ***Lower Employee and Customer Turnover Costs (Retention)***
4. ***Superior Employee Performance***
5. ***Corporate Learning***

Disadvantages of Transformational Leadership

1. ***Dependence on the Leader***
2. ***Draining Personnel***
3. ***Power and Manipulation***
4. ***Lack of Check and Balance***
5. ***Usage of Impression Management***

Transactional vs Transformational

Transactional Leadership	Transformational Leadership
Leadership is responsive and its basic orientation is dealing with present issues	Leadership is proactive and forms new expectations in followers
Works within the organizational culture	Works to change the organizational culture by implementing new ideas

Transactional vs Transformational

Transactional Leadership	Transformational Leadership
Employees achieve objectives through rewards and punishments set by leader	Employees achieve objectives through higher ideals and moral values
Motivates followers by appealing to their own self-interest	Motivates followers by encouraging them to put group interests first

Transactional vs Transformational

Transactional Leadership	Transformational Leadership
Management-by-exception: maintain the status quo; stress correct options to improve performance	Promote creative and innovative ideas to solve problems
Leadership depends on the leader's power to reinforce subordinates for their successful completion of the bargain	Leaders create learning opportunities for their followers and stimulate followers to solve problems